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MAY/JUNE 2014

CARIBBEAN EXAMINATIONS COUNCIL

CARIBBEAN ADVANCED PROFICIENCY EXAMINATION®

MANAGEMENT OF BUSINESS

UNIT 1 – Paper 02

2 hours 30 minutes

14 MAY 2014 (p.m.)

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This paper consists of THREE sections: A, B and C.
2. Each section consists of TWO questions.
3. Candidates MUST answer ONE question from EACH section.
4. Begin EACH question on a separate page.
5. Each question is worth 25 marks.

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02133020/CAPE 2014



SECTION A

MODULE 1: BUSINESS AND ITS ENVIRONMENT

Answer ONE question from this section.

1. The government-owned public transportation (bus) system in Sunset Island has been operating at a loss for the past ten years. The government has announced that it will be privatizing the system.

- (a) Outline the difference between 'privatization' and 'nationalization'. **[4 marks]**
- (b) Explain THREE negative impacts that Sunset Island may experience as a result of the government privatizing the bus system. **[9 marks]**
- (c) Discuss THREE ways in which the country may benefit from the privatization of the bus system. **[12 marks]**

Total 25 marks

2. Globalization has facilitated the growth of multinational corporations (MNCs) in many Caribbean countries.

- (a) Define the terms 'globalization' and 'multinational corporations'. **[4 marks]**
- (b) Outline THREE ways in which the government can encourage the growth of MNCs in your country. **[9 marks]**
- (c) Discuss THREE ways in which an increase in the number of MNCs in the Caribbean may impact businesses in the region. **[12 marks]**

Total 25 marks

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SECTION B

MODULE 2: MANAGEMENT OF PEOPLE

Answer ONE question from this section.

3. In February, four new workers were added to the production department in Flamingo Fashions Enterprise resulting in the realignment of authority, responsibility and teamwork in the department. Since then, conflict has arisen among teams in the production department.

(a) Define EACH of the following terms:

(i) Authority [2 marks]

(ii) Responsibility [2 marks]

(b) Explain THREE reasons why conflict may have arisen in the production department at Flamingo Fashion Enterprise. [9 marks]

(c) Discuss THREE ways in which Flamingo Fashion Enterprise can benefit from teamwork. [12 marks]

Total 25 marks

4. (a) Define EACH of the following types of leadership styles:

(i) Autocratic [2 marks]

(ii) Transformational [2 marks]

(b) The following are three levels of human needs in Abraham Maslow's Hierarchy of Needs:

(i) Security

(ii) Physiological

(iii) Belongingness and Love

Explain ONE way in which an organization can use compensation to satisfy employees' needs at EACH level. [9 marks]

(c) Discuss THREE ways in which an organization can benefit from on-the-job training for employees. [12 marks]

Total 25 marks

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SECTION C

MODULE 3: BUSINESS FINANCE AND ACCOUNTING

Answer ONE question from this section.

5. Effective Solutions Ltd is evaluating its investment options. Table 1 below shows data on the three available options. Table 2 shows the discount factor for Year 1 – Year 10.

TABLE 1: DATA ON THREE AVAILABLE OPTIONS

	Project A	Project B	Project C
Initial investment	\$106 254	\$113 724	\$108 590
Annual cash inflow	\$ 45 000	\$ 30 000	\$ 25 000
Duration (years)	3	5	8

TABLE 2: DISCOUNT FACTOR FOR YEAR 1 – YEAR 10

Year	Discount Factor (12%)
1	0.8928
2	0.7971
3	0.7117
4	0.6355
5	0.5647
6	0.5066
7	0.4523
8	0.4038
9	0.3606
10	0.3219

The firm's cost of capital is 12%.

- (a) Compute for EACH project
- (i) the payback period [6 marks]
 - (ii) the net present value. [9 marks]
- (b) Suggest to the company the **best** investment option based on the net present value method. State a reason to support your answer. [2 marks]
- (c) Identify TWO possible sources of finance that Effective Solutions Ltd could consider for the investment project chosen. [2 marks]
- (d) Outline THREE factors that Effective Solutions Ltd should consider when choosing a source of finance for the project chosen. [6 marks]

Total 25 marks

6. (a) (i) Define the term 'ratio analysis'. [2 marks]

(ii) State THREE ways in which ratio analysis is important to businesses. [3 marks]

(b) The following are the financial statements of Ross Enterprise for the year ended 30 June 2013.

Income Statement for the Year Ended 30 June 2013

	\$	\$
Sales		81 600
Opening stock	16 000	
Purchases	64 000	
	<u>80 000</u>	
Closing stock	<u>12 800</u>	
		<u>67 200</u>
Gross profit		14 400
Expenses		<u>3 700</u>
Net profit		<u><u>10 700</u></u>

Balance Sheet as at 30 June 2013

	\$		\$
Fixed Assets	60 000	Opening capital	60 000
Stock	12 800	Net profit	<u>10 700</u>
Debtors	17 600		70 700
Bank	9 500	Drawings	<u>1 600</u>
	<u>99 900</u>		69 100
		Loans	<u>20 000</u>
			89 100
		Creditors	5 600
		Accrued expenses	<u>5 200</u>
			10 800
			<u><u>99 900</u></u>

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Compute, **correct to one decimal place**, the ratios below for the year ended 30 June 2013, and explain what EACH ratio indicates about the performance of the company.

- | | | |
|-------|-----------------------------|-----------|
| (i) | Acid Test | [5 marks] |
| (ii) | Gearing Ratio | [5 marks] |
| (iii) | Net Profit Margin | [5 marks] |
| (iv) | Return on Capital or Equity | [5 marks] |

Total 25 marks

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.